

Research Briefing | France

Why France's Q1 GDP fall was worse than its peers'

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Flash Q1 GDP estimates confirmed the massive blow European economies are suffering

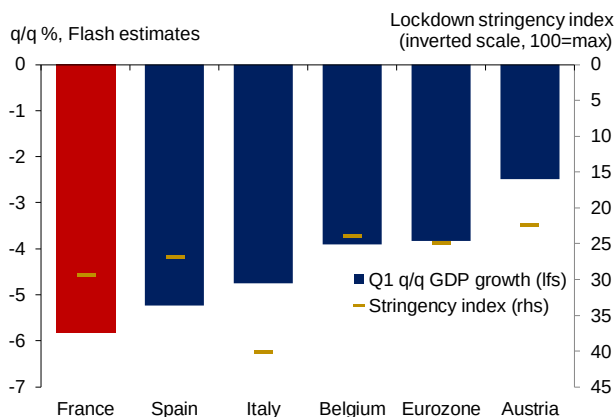
Figure 1: The French economy was the worst hit in Europe in Q1, according to flash GDP figures

- Some European countries have released Q1 GDP flash estimates, and all confirmed the massive economic blow from coronavirus-induced lockdowns. But France stood out as the most affected economy, with its GDP falling by 5.8% q/q — the worst since 1949. This drop was sharper even than those registered in Italy or Spain, although they had similar Q1 lockdowns in nature and length, if not worse.
- What lies behind France's poor performance? Some specifics partly explain this rather surprising result: strikes in January, a sharper hit to the industry due to lack of masks, and construction output at a standstill. Statistical artefacts could also explain part of the growth differentials as GDP flash figures are built on partial data, and the last weeks of the quarter are typically estimates. As such, we do not rule out important revisions in coming months.
- The economic recovery path will count as much as the initial blow of lockdowns in assessing the crisis' final impact. And we think France is better placed than Italy or Spain to revive its economy once the lockdowns are lifted, although its GDP will still be below 2019 levels by end-2021.

According to [flash estimates of Q1 GDP](#) released so far by European countries, the French economy was the most affected by the coronavirus crisis (**Figure 1**) although the country's lockdown was less severe than Italy's. Four factors help explain this rather surprising result:

- **First, persistent lack of masks weighed on industrial activity in Q1.** In the early stages of the lockdown, the government requisitioned most of masks in the private sector to rebuild its empty stocks for the health emergency. This prevented some factories from operating in safe conditions.

Eurozone: Q1 GDP growth



Source : Oxford Economics/Haver Analytics/Blavatnik School of Government

French GDP fell by 5.8% q/q in Q1, recording the worst performance among European peers that had also released GDP flash estimates for the quarter. For instance, the French economy contracted markedly more than Italy (4.7%), which had a longer and tougher lockdown during Q1.

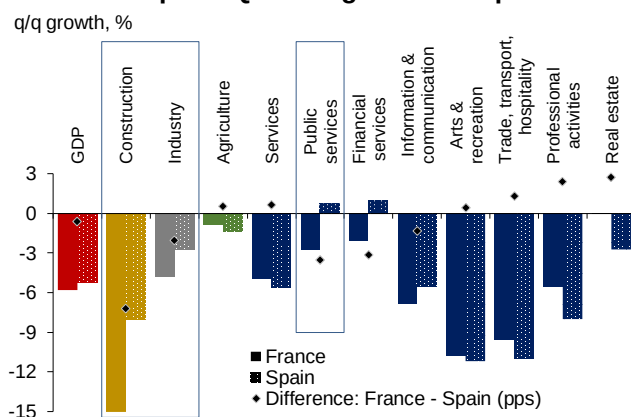
Why France's Q1 GDP fall was worse than its peers'

- **Second, the plunge in the French construction sector has been particularly marked (Figure 2)**, with output contracting by 15% over the quarter and estimated to stand around 80% below normal levels. Also due to safety concerns, the sector's unions called for a suspension of all work, sending activity to a standstill. Notably, public works are stopped, whereas they were in full swing before the lockdown began as local elections were supposed to take place in March and some long-term building projects were under way. Among them, the Grand Paris project, 2024 Olympics infrastructure, and the Notre Dame reconstruction.
- **Third, massive strikes against the government pension reform disrupted activity in January**, notably in Paris. While this shock is relatively minor compared to the coronavirus hit, it means the economy was already weakened. The strikes, which began in November, led the French economy to contract by 0.1% q/q in Q4.
- **Fourth, Q1 growth differentials could partly stem from statistical artefacts.** Flash GDP estimates are built from partial data and surveys, especially for the last weeks of a quarter, which in this case is crucial. As such, we don't rule out major revisions in coming months as the historic relationships between surveys and hard data have been broken. The also surprising decline in French government consumption in Q1 (Figure 3) is particularly telling in this regard. Estimates of non-market services output rely on the sector's costs (mainly wages) and assume both evolve broadly in line. However, the confinement resulted in a chunk of public agents continuing to be paid but being unable to work. As it remains very difficult to know the precise number of civil servants in this situation, the National Institute of Statistics and Economic Studies has assumed *"that a quarter of civil servants, excluding health and education"* were in this situation and warns *"this estimate is fragile and could be reviewed"* significantly.

Given the very particular nature of this shock (massive but short), the economy's recovery path is just as important as its reaction to the shock when considering its resilience. As we have shown in multiple works, the [structure of the economy](#), the [fiscal response](#), and the government's capacity [to preserve jobs](#) during the shock will be key in defining the post-lockdown recovery path. In this regard, we think France is better suited than Spain or Italy to revive its economy once the lockdowns are lifted, although its GDP will still be below 2019 levels by end-2021 (Figure 4).

Figure 2: Construction and public services underperformed in France

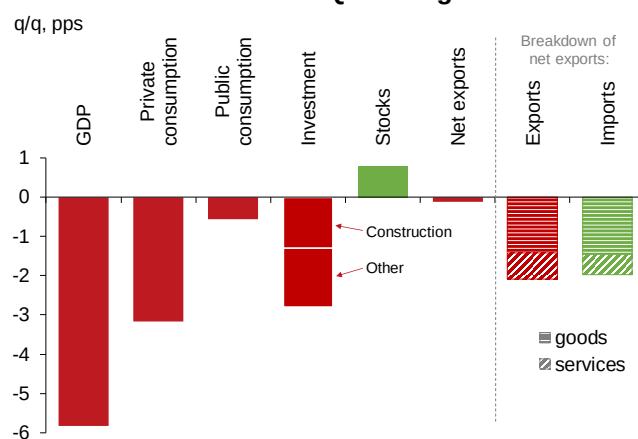
France & Spain: Q1 GDP growth comparison



Note: only France and Spain release detailed breakdowns in GDP Flash estimates.
Source : Oxford Economics/Haver Analytics

Figure 3: The fall in consumption dealt a major blow to GDP in Q1

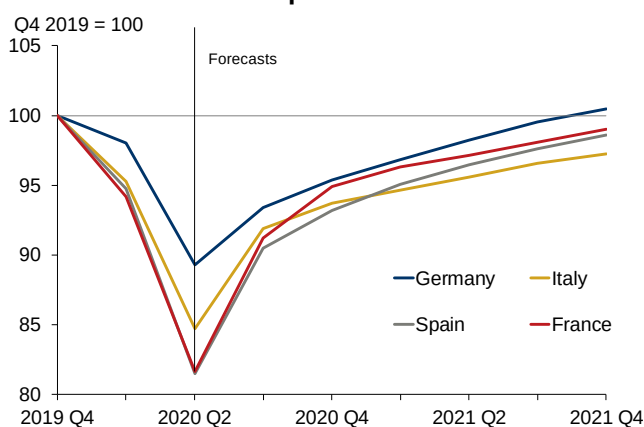
France: Contribution to Q1 GDP growth



Source : Oxford Economics/Haver Analytics

Figure 4: The post-lockdown recovery will be more marked in France than in Spain or Italy

Eurozone: Real GDP path



Note: Q1-2020 is a forecasts for Germany, official Flash estimates for the others.
Source : Oxford Economics/Haver Analytics